

BIOREM INC BRM.

September 07, 2026 - 6:03pm EST

by

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			2026	2027
Price:	3.61	EPS	0.38	0.41
Shares Out. (in M):	19	P/E	9.4	8.7
Market Cap (in \$M):	68	P/FCF	0	0
Net Debt (in \$M):	-14	EBIT	0	0
TEV (in \$M):	54	TEV/EBIT	0	0

Description

BIOREM is a Canadian listed microcap with a market cap of ~C\$68M. The company trades at roughly ~9.5x 2026E earnings and ~5.1x EBITDA. The investment opportunity is to buy a growing service business within a small water equipment supplier. That shift could support higher margins and a higher valuation as earnings become less dependent on new equipment orders. Recent water-equipment acquisitions at 14x-25x EBITDA range show what strategic buyers have paid for businesses in the sector.

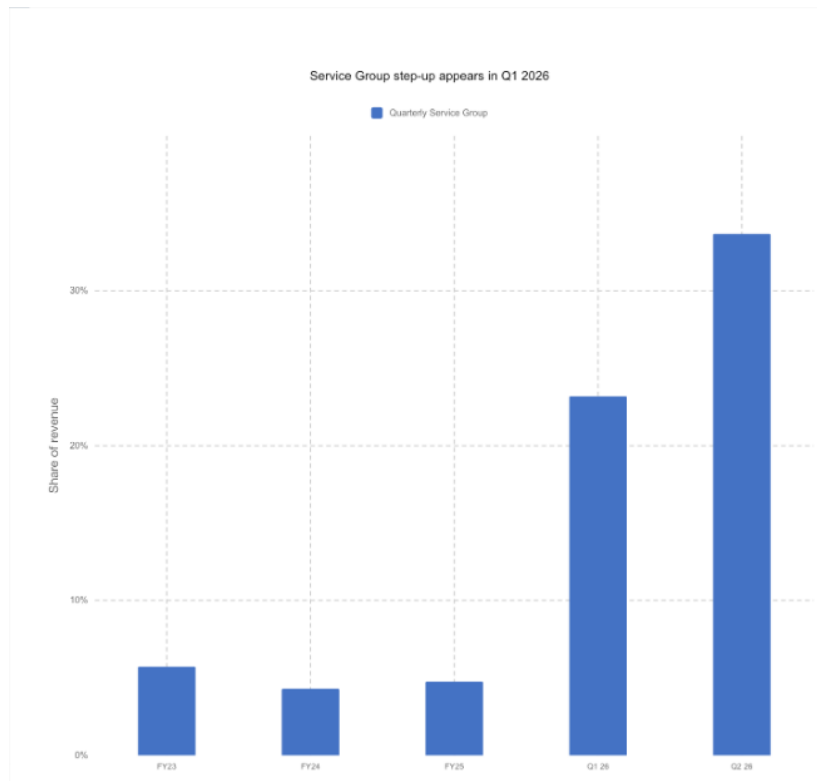
Business Overview

BIOREM makes systems that remove odours and harmful gases from wastewater plants and industrial sites. Its products include biological filters and dry scrubbers. Revenue is generated from long-cycle construction projects, which generate equipment revenue. The initial system sale creates opportunities to sell replacement media, maintenance contracts, rentals and upgrades.

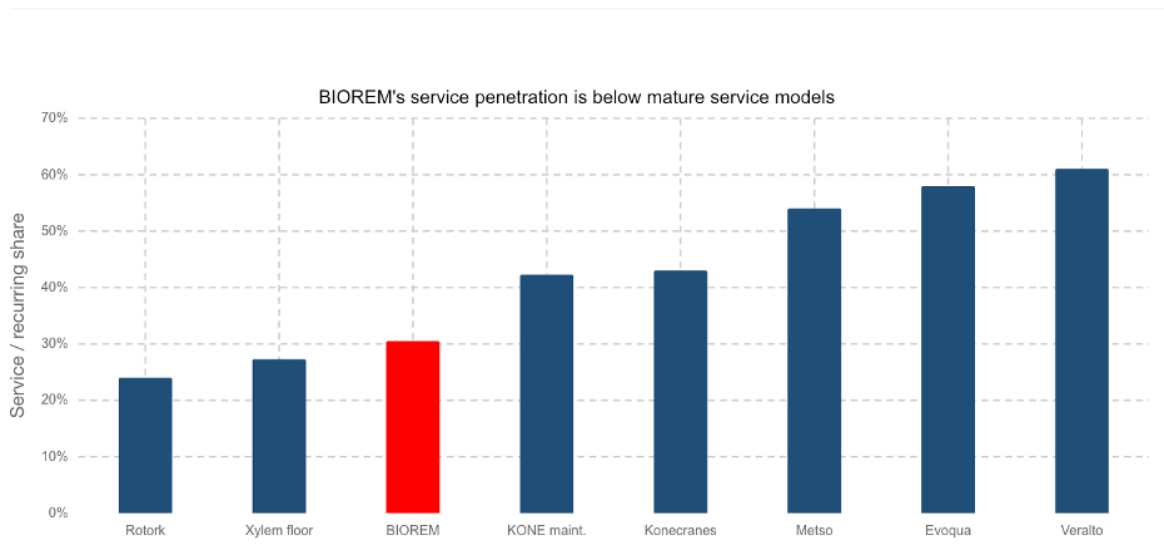
Post-pandemic, BIOREM management have focused their efforts on expanding beyond initial equipment sales by adding replacement media and other services to their portfolio. Their older products, primarily long-life biological systems, required little media replacement, so the new offerings create additional ways to earn longer duration revenue from customers.

BIOREM's core market is North American municipal wastewater. The US represents ~57% of FY25 revenue, while the Middle East represents 20%, Canada 13%, and other International markets 10%. The Middle East is becoming more important as its share of backlog grows.

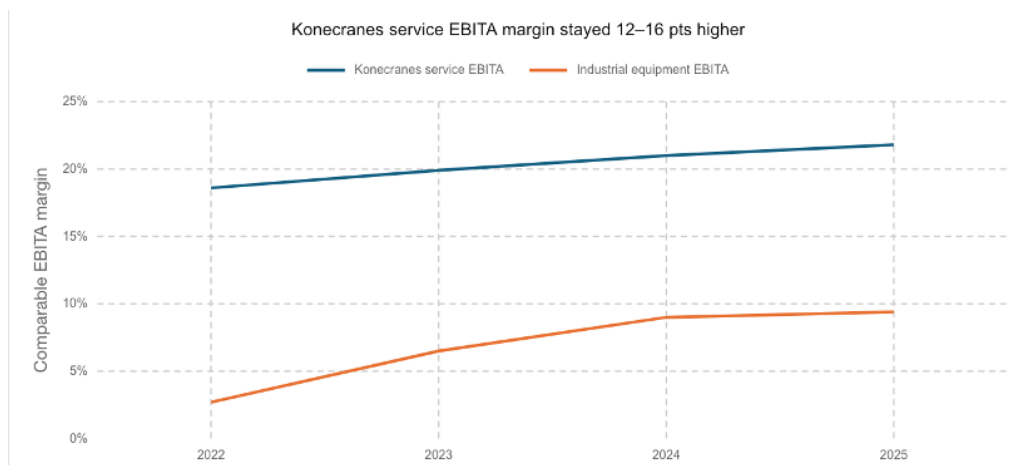
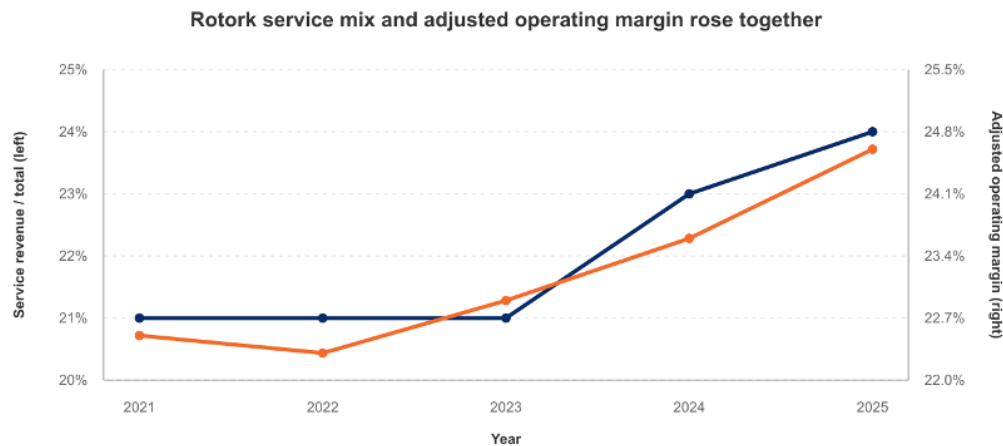
Service Revenue Opportunity



Service Group revenue reached C\$5.28M in Q2 2026, up from C\$0.65M a year earlier. Service revenues now represent >30% of company revenue. The step up was due to investments made in 2025 in creating a rental fleet, as well as a significant expansion in service offerings to include modelling, assessments, and turnkey retrofits. Despite the step up, BIOREM ranks at the lower end of peer service penetration, so we believe there is more room for penetration to increase.



A richer service mix could support expanding margins (BIOREM EBITDA margins were 14.3% in H1 26). While management does not disclose a specific service gross/EBITDA margin, they have stated that services carry high GMs than construction products. As a quantitative analogue, Rotork's service share and group margin have risen together from 2021-2025. In addition, Konecranes reports services margins 12-16 points higher than in equipment.



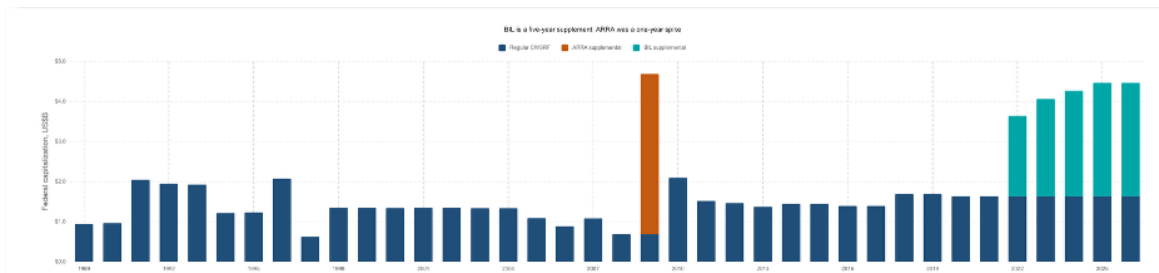
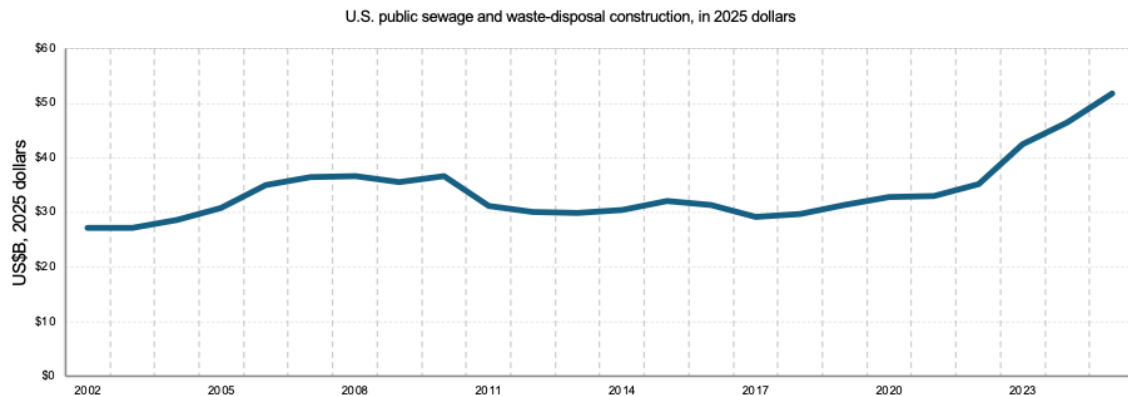
We assume a ~150bps annual increase in service penetration, similar to Rotork's ~300bps cumulative increase from 2023 to 2025. At an illustrative ~12 point service-versus-equipment margin gap, mix should add one point to EPS growth excluding any operating leverage.

Wastewater Market Growth

US (57% of FY25 revenues): We assume US revenue is flat from 2027. 2026 growth should be supported by their Q2 backlog of \$75.5M.

Recent indicators are mixed. July construction spending was down 1% y/y, while peers have shared mixed commentary. Xylem reported global water infrastructure orders down ~1% in H1 2026 (or down ~4% in Q2 2026), though Veralto describing water demand as “steady”.

Historically, real public sewage and waste-disposal construction spending grew about 2.8% annually from 2002 to 2025. Spending reached an all-time high in 2025 on the back of an extraordinary BIL-funded expansion. While funding is expected to be cut in FY27, the impact of their expiry should be small as only 36% of the BIL CWSRF has been disbursed as of Sept 2025. The BIL CWSRF Funding also only represents 5.5% of annual public construction spending.



International (30% of FY25 revenues): BIOREM's largest international market is the Middle East (20% of revenues in FY25). We model Middle East revenue growing 9% annually driven by expanding wastewater coverage (~64% in 2024 to ~95% in 2030 + population growth).

While BIOREM has a high concentration in specific projects, demand in the region appears strong. WABAG (an Indian water treatment company) reported more than US\$5B in Middle East tender opportunities and Middle East order inflow grew sixfold from FY24 to FY25.

Assuming other international revenues remain flat, the international segment should grow in the ~6% range.

Canada (13% of FY25 revenues): We assume that Canadian construction/equipment revenues grow ~5% (~3% volume + 2% price). In August, Stantec (engineering firm) expects improving Canadian public sector spending, particularly in Water and Buildings. More water-design work can lead to tenders, equipment orders/sales, and eventually services opportunities.

Management

Management has historically been good capital allocators. In 2021, BIOREM repurchased ~61% of the stock in 2021 at \$0.5256 to help their majority shareholder exit their position. The transaction has proved to be value accretive as revenue and EBITDA have increased at a 12% and 18% CAGR from 2020-2025.

While the company has indicated they want to pursue M&A (per the Investor Presentation on the site), their last completed transaction occurred in 2005. We model cash accumulating on the balance sheet, but opportunity exists for additional return of capital.

There is a significant option pool awarded to mgmt representing ~21% of shares outstanding. The majority of the options are struck at ~\$0.35, creating substantial equity exposure and should align management with shareholders.

Tariffs

Tariffs are a manageable but measurable risk because BIOREM has a U.S. manufacturing footprint that should mitigate exposure. In a tail case where a 50% tariff is fully absorbed on an assumed C\$1.94M of exposed inputs, the impact would be ~10% of FY2026E net income.

Financial Model / Valuation

	FY22A	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
Geography							
United States				24.2	33.0	33.7	34.5
Canada				5.4	7.2	7.7	8.3
Middle East				8.7	15.0	16.7	18.6
Other international				4.1	4.8	4.9	5.0
Total revenue	28.9	25.2	37.4	42.4	60.0	63.1	66.4
Change y/y		(12.8%)	48.7%	13.2%	41.7%	5.1%	5.3%
Service revenue					18.1	20.0	22.0
Service share of total					30.2%	31.7%	33.2%
Equipment revenue					41.9	43.1	44.4
Income statement							
Cost of goods sold	20.1	18.1	27.4	29.6	41.4	43.4	45.6
Gross profit	8.8	7.0	10.1	12.8	18.6	19.7	20.8
Gross margin	30.4%	27.9%	26.9%	30.1%	31.0%	31.2%	31.4%
Sales and marketing	2.6	2.3	3.5	3.5	5.0	5.2	5.3
Research and development	0.1	0.0	0.0	0.0	0.2	0.2	0.2
General and administration	3.2	1.6	2.1	2.6	3.4	3.5	3.6
Other operating expense	0.2	0.0	0.0	0.1	0.1	0.1	0.1
Operating income	2.6	3.1	4.3	6.5	9.9	10.7	11.6
Depreciation	0.4	0.4	0.5	0.5	0.6	0.6	0.7
EBITDA	3.0	3.4	4.8	7.0	10.5	11.3	12.3
EBITDA margin	10.4%	13.7%	12.9%	16.4%	17.5%	17.9%	18.5%
Finance costs	0.3	0.3	0.2	0.2	0.1	0.1	0.1
Pretax income	2.4	2.8	4.1	6.3	9.8	10.6	11.6
Income tax	0.8	0.6	1.1	1.5	2.6	2.8	3.1
Net income	1.6	2.2	3.0	4.8	7.2	7.8	8.5
Diluted shares	17.6	17.1	18.7	18.6	19.0	19.2	19.3
Diluted EPS	\$0.09	\$0.13	\$0.16	\$0.26	\$0.38	\$0.41	\$0.44
Change y/y		38.6%	27.7%	58.9%	46.6%	7.0%	8.8%

Precedent transactions

Year	Acquirer / target	Strategic fit	Value US\$M	EV / revenue	EV / EBITDA	P / E
2026	Veralto / Cleanwater1	Odour filtration; 25% aftermarket; 25,000 units	452	3.3x	17.0x	n.d.
2023	Xylem / Evoqua	Municipal and industrial water; lifecycle service	7,500	4.3x	25.2x	n.m.
2022	Pentair / Manitowoc Ice	Commercial water equipment; 1M-unit installed base	1,600	5.2x	17.4x	n.d.
2022	Zurn / Elkay	Commercial drinking-water systems	1,560	n.d.	14.2x	n.d.
2022	CECO / Compass Water	Industrial wastewater; 40% aftermarket revenue	12.5	1.1x	n.d.	n.d.
2021	Ecolab / Pyrolite	Purification resins; 95% consumable revenue	3,700	9.3x	n.d.	n.d.
2016	A. O. Smith / Aquasana	Residential water treatment; 35% consumables	~88	2.0x	n.d.	n.d.
Median	Disclosed observations	Recent EBITDA median; revenue median		3.8x	17.2x	n.m.

That value could be unlocked via an acquisition. Strategic buyers have explicitly targeted installed bases for acquisitions. For example, Veralto highlighted the opportunity to increase recurring revenue at Cleanwater1 (~25% of revenue pre-acquisition). Cleanwater1 is the closest strategic precedent as it combines municipal wastewater, odour filtration, an installed base and an explicit recurring-revenue plan.

BIOREM's 5.2x 2026E EV / EBITDA is a significant discount to that transaction at ~17x. Some discount is expected given BIOREM's business is significantly smaller and carries lower consumables/services/aftermarket revenue vs peers. However, even at a Compass Water multiple (~1.1x EV/26E revenue for a \$13M deal), there is still ~22% upside.

Risks

- US funding cuts push out equipment orders
- New tariff announcements that impact margins

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Catalyst

- Another large return of capital (~10% of the market cap is cash + the company should generate an additional ~10% in FY26)
- Sale of business to a strategic buyer looking to further increase service penetration

Messages

No messages